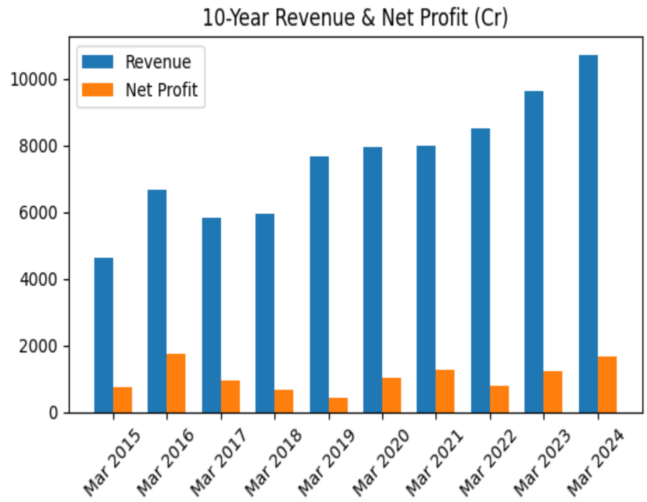
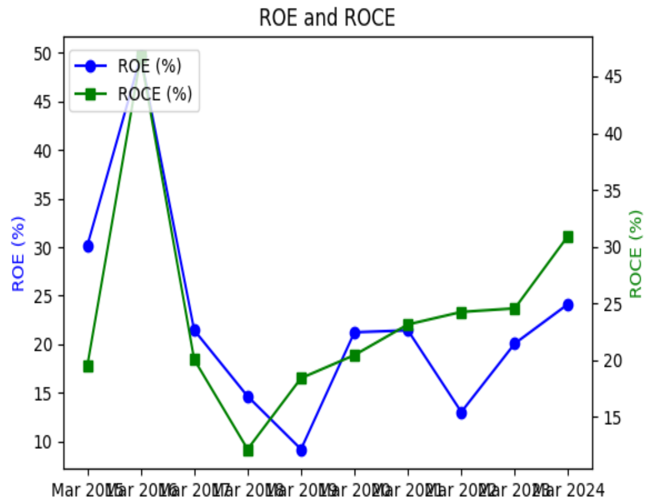
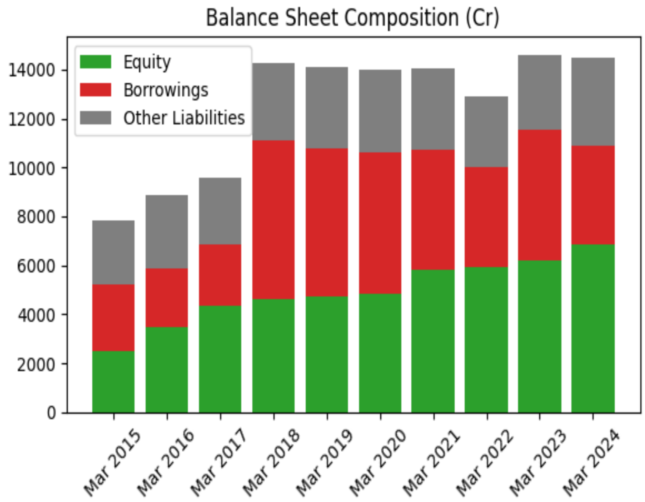
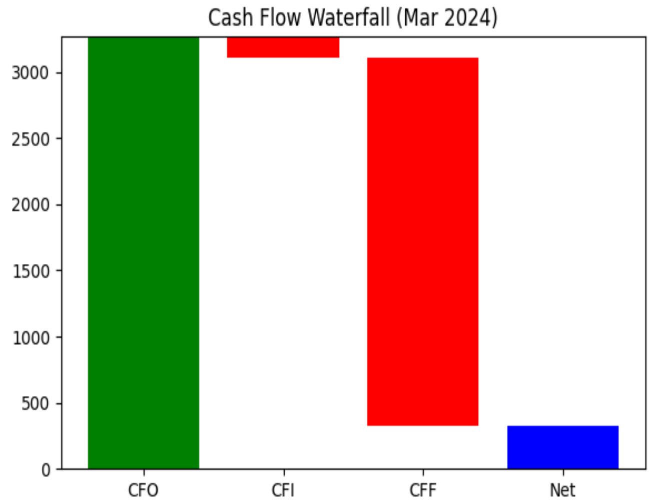
Torrent Pharmaceuticals Ltd (TORNTPHARM)

Revenue ■11,302 Cr	**Net Profit** ■1,862 Cr	**ROE** 24.2%
ROCE 31.0%	**CFO Quality** High Quality	**Allocation** Shareholder Returns









Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable

Capital Allocation Pattern: Shareholder Returns